DE–7968 **11**

DISTANCE EDUCATION

B.B.A. (C.S.) DEGREE EXAMINATION, MAY 2014.

BUSINESS COMMUNICATION

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. What are the qualities of a good business letter?

2. State the purposes of sending circular letter.

3. What are the various types of business letters?

4. Draft a sales letter introducing a new model of laptop.

5. Explain the guidelines to be followed while writing the collection letters.

6. Explain the characteristics of a good report.

7. What are the statutory provision relating to minutes?

8. Write a letter to the Bank Manager requesting him to issue a cheque book.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Draft an application letter for the post of financial manager of a Public Limited Company.

10. Draft a complaint letter to a concern for supply of defective Air Conditioners. Also draft a suitable reply to the customer who has complained about the Air Conditioners.

11. Explain the different types of Business Reports.

12. What are the guidelines to be followed in drafting an Effective Speech.

13. How do you write a reply for a reference letter?

14. Explain the various parts of a Business Letter.

15. Write a letter to an insurance company for the early settlement of claim.

DE–7969 **12**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

BASIC FINANCIAL ACCOUNTING

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Briefly explain different accounting principles.

2. What are the causes for depreciation? Explain the different methods of providing depreciation.

3. On 1st January 2004, A sold goods to B for Rs.6,000 and immediately drew a two months bill on him for the amount due. On 15th January, A endorsed the bill to C to whom he owed a similar sum. Journalize the transactions in the books of A, B and C

   (a) Where the bill is honoured on the due date and

   (b) Where the bill is dishonoured on the due date.

4. On 31.12.2000, Subscriptions out standing were Rs.10,000 and received in advance for 2001 Rs.8,000.

   During 2001, subscription received were Rs.80,000 including Rs.7,000 towards the dues of the year 2000. On 31.12.2001, total subscriptions outstanding were Rs.12,000 and received in advance for 2002 Rs.6,000. You are required to show:

   (a) Subscription to be credited to income and expenditure account and

   (b) Extract from balance sheet of 2001 showing the items relating to subscriptions.

5. On 1st April, 1996, Ananth of Nellore consigned to Balu of chennai 200 radio sets at Rs.1,300 each. Ananth paid Rs.500 for insurance and Rs.1,000 for freight. On 13th April, Balu received the consignment and had to pay Rs.300 as unloading charge and Rs.150 for dock. On 14th October, 1996 Balu sent an account sales to Ananth informing that till 30th September, 1996, 180 sets were sold at Rs.1,400 each and 20 sets at Rs.1,350 each. Balu sent the balance by a demand draft after deducting his commission at 10% on sales. Show necessary Journal entries in the books of Ananth.

6. Ascertain the amount of subscriptions to be credited to Income and Expenditure for the year 1999 from the following details.

   Subscriptions received in 1999, Rs.48,000/- which include Rs.4,000/- for 1998 and Rs.8,000/- for the year 2,000. Subscriptions due but not received at the end of the year 1999 were Rs.20,000/- Subscriptions received in 1998 in advance for 1999 were Rs.12,000/-.

7. On 15th February, 2004, A accepts a bill drawn by B at three months for Rs.1,000 in payment of a debt. B endorses the same to C. On the due date, the acceptance is dishonoured and C gets the bill noted by paying Rs.15.

   B grants a fresh bill payable after 30 days to C including a further Rs.30 for interest. Ten days later A pays B including a further Rs.10 for interest. Record these transactions in the journals of A, B and C.

8. A machine was purchased on 1st July 1983 at a cost of Rs.14,000 and incurred a sum of Rs.1,000 on its installation. The depreciation is written off at 10% on the original cost every year. The books are closed on 31st December each year. The machine was sold for Rs.9,500 on 31st March 1986. Show the machine account for all these years.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. From the following balances of Arvind, prepare a Trading A/c, profit and Loss A/c and Balance Sheet as at 31st December 1995.

	Rs		Rs
Credit Balances :			
Capital	72,000	Postage	546
Creditors	17,440	Bad debts	574
Bills payable	5,054	Interest	2,590
Sales	1,56,364	Insurance	834
Loan	24,000	Machinery	20,000
Debit Balances :		Stock (1–1–95)	19,890
Debtors	7,770	Purchases	1,24,184
Salaries	8,000	Wages	8,600
Discount	2,000	Buildings	47,560
		Furniture	32,310

Value of goods on hand on 31-12-95 Rs.28,600.

10. Calculate the expenditure to be shown in income and expenditure account from the following:

		Rs.
(a)	Sports materials purchased for cach	20,000
	Opening stock of sports materials	5,000
	Closing stock of sports materials	8,000
	Opening creditors for sports material	7,000
	Cash paid to creditors for sports materials	22,000
	Closing creditors for sports materials	6,000
(b)	Stationery purchased during the year	40,000
	Opening stock of stationery	8,000
	Closing stock of stationery	9,000

11. The position of a businessman who keeps his books on single entry was as under on 31.12.90 and 31.12.91.

	1990 Rs	1991 Rs
Cash in hand	400	480
Cash at bank	6,000	2,500
Stock	6,500	5,000
Debtors	4,000	5,200
Furniture	300	350
Sundry creditors	4,100	3,100

He withdraw Rs. 7,500 from business on 2.1.1991 out of which he spent Rs.5,200 for purchase of a motor truck for the business.

Adjustments:

(a) Depreciation on closing balance of furniture and truck at 10%

(b) Write off Rs.220 as bad debts.

(c) 5% provision for bad and doubtful debts is needed. Find out the profit or loss for the year.

12. From the following, prepare a purchase ledger adjustment account

	Rs.		Rs.
1.1.2003		B/R dishonoured	1,000
Creditors balance (Cr)	12,000	B/P dishonoured	500
Creditors balance (Dr)	150	Discount earned	600
31.12.2003		Discount allowed	200
Total purchases	40,000	Bills endorsed	800
Cash purchases	4,000	Bills discounted	200
Cash paid	20,000	Creditors balance (Dr)	140
Bills accepted	15,000		
Returns outwards	2,000		
Returns inwards	1,000		

13. From the following Receipts and payments account of the Chennai Club for the year ended 31st March 1998, prepare Income and Expenditure account:

Receipts and payments A/c for the year ended 31-03-1998.

Receipts (Dr)	Rs.	Payments (Cr)	Rs.
To Balance (1.4.97)	3,485	By books	6,150
To Entrance fee	650	By printing and Stationery	465
To Donations	6,000	By Newspapers	1,110
To subscriptions	6,865	By sports materials	5,000
To interest on Investment	1,900	By repairs	650
To sale of furniture	685	By Investments	2,000
To sale of old news papers	465	By Furniture	1,000
To proceeds from entertainment	865	By Salary	1,500
To sundry Receipts	125	By Balance on 31.3.98	3,165
	21,040		21,040

The entrance fee and donations are to be capitalised; Sports materials are valued at Rs.4,000/– as on 31.3.1998.

14. On 1st January, 1994 B of Bombay consigned 100 cases (cost price Rs.7,500) at a proforma invoice of 25% profit on sale to his agent C of Chandigarh. On the same date, B paid Rs.600 as expenses. On 30th January, C took delivery and paid Rs.1,200 for octroi and other duties and remitted Rs.4,000 as advance. On 31st January 1994 he sold 80 cases for Rs.10,500; C is entitled to 5% commission on gross sales and 10% of the sale price in excess of invoice price.

Show consignment account and C's Account in the books of B. C is required to maintain proportionate security with the consignor for unsold stock.

15. A second hand machine was purchased on 1-1-90 for Rs.30,000 and repair charges amounted to Rs.6,000. It was installed at a cost of Rs. 4,000. On 1st July 1991, another machine was purchased for Rs.26,000. On 1st July 1992, the first machine was sold for Rs.30,000. On the same day one more machine was bought for Rs.25,000. On 31-12-92, the machine bought on 1st July 1991 was sold for Rs.23,000. Accounts are closed every year on 31st December. Depreciation is written off at 15% per annum. Prepare the Machinery Account for 3 years ending 31-12-92.

DE–7970 **13**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

PRINCIPLES OF MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following questions.

1. Distinguish between management and administration.

2. What is planning? Explain its characteristics.

3. How would you determine the training needs in an organisation?

4. Explain the need and importance of coordination.

5. Define planning. What are the steps involved in it?

6. Explain the important principles of organising.

7. Define motivation. Describe its characteristics.

8. Explain the functions of a leader.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the contribution to management thought made by Elton mayo.

10. Discuss the importance of decision-making in management.

11. What do you understand by "Span of Management"? How is this taken into account in preparing an organisation structure?

12. Describe the various types of tests used for the selection of personnel.

13. Explain Maslow's need-hierarchy theory. How does it compare with the two factor theory?

14. Define training. Explain the various methods involved in training.

15. Discuss the various steps involved in the control process.

DE–7971 **14**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

COMPANY LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the documents to be filed for the incorporation of a company?

2. What is Doctrine of ultra vires? What are the effects of ultra vires transaction?

3. Who is a member? Explain the modes of becoming a member.

4. What are Articles of Association? What are its contents?

5. Explain the different kinds of resolutions.

6. What are the qualifications and disqualifications of directors?

7. What is a prospectus? What are its contents?

8. Explain the powers of the liquidator during winding up.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain in detail creditors' voluntary winding up.

10. State the provisions of the Companies Act 1956, regarding the various modes of appointment of the directors of a company.

11. What is corporate veil? What are the circumstances under which it can be lifted?

12. Enumerate the different kinds of companies.

13. Explain the provisions of Companies Act 1956 relating to allotment of shares.

14. State the provisions of Companies Act 1956 relating to

    (a) Statutory meeting

    (b) Board meetings.

15. What is memorandum of association? Distinguish between the articles and memorandum of association.

DE–7972 **15**

DISTANCE EDUCATION

B.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

MANAGERIAL ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is managerial economics? Explain its concept.

2. Explain the term 'Equi-marginal utility.

3. Discuss the term 'demand function'.

4. What are the factors affecting advertising elasticity of demand?

5. What is production function? State its assumptions.

6. What are the essential features of perfectly competitive market?

7. Explain about differential pricing.

8. What are the advantages of marginal cost pricing?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Illustrate the law of equi-marginal utility and bring out its usefulness.

10. Explain the nature and scope of managerial economics.

11. Discuss the investment decisions under uncertainty.

12. Describe the regression method of forecasting demand.

13. Explain the laws of production.

14. Discuss the features of monopolistic competition.

15. Explain the importance of price elasticity of demand.

DE–7973 **21**

DISTANCE EDUCATION

B.B.A. (CS) / B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

SECRETARIAL PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are different types of secretaries? What functions do they perform?

2. What are the provisions of the companies Act, 1956 with regard to issue of share certificates?

3. What is a statutory meeting? Enumerate the provisions relating to statutory meeting.

4. What are the statutory provisions regarding payment of dividends?

5. What are the disqualifications of directors?

6. Discuss the powers of a director of a company under the Companies Act, 1956.

7. What are the duties of a company secretary in respect of the compulsory winding up of the company?

8. Outline the nature and advantages of a floating charges.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the position of a Company Secretary and explain his rights.

10. Enumerate duties of a Company Secretary in respect of Issue of Share Certificates.

11. Distinguish between "transfer" and "transmission" of shares.

12. What are the legal provisions for holding an annual general meeting of a Company?

13. Define interim dividend. Describe the secretarial work in connection with the declaration of interim dividend.

14. Briefly state the provisions of the Companies Act, 1956 regarding the mode of appointment of the directors of a Company.

15. What are the various modes of winding up?

DE–7974 **22**

DISTANCE EDUCATION

B.B.A. (CS)/ B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

COMMERCIAL LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

1. Explain the rules relating to time and place of performance of a contract.

2. Distinguish indemnity from guarantee.

3. Explain the duties of the agent to the principal.

4. Elaborate the doctrine of caveat emptor.

5. When a banker refuses to make payment of a cheque?

6. Discuss the grounds on which the partnership is dissolved.

7. State the rights and liabilities of a common carrier.

8. Explain the documents related to carriage by air – Explain them.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR of the following.

9. Write a detailed note on capacity of the parties to the contract.

10. Explain the creation and termination of an agency.

11. Enumerate the rules for transfer of ownership of goods.

12. What is a cheque? Explain the different types of crossing of a cheque.

13. Discuss the rights, duties and liabilities of partners.

14. Explain the classification of carriers and their characteristics.

15. What are the basic elements in the contract of insurance? Explain briefly the different kinds of insurance.

DE–7975 **23**

DISTANCE EDUCATION

B.B.A.(CS)/B.B.A.(CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

BUSINESS STATISTICS

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the uses and limitations of statistics?

2. Find out the missing values of the variate for the following distribution whose mean is 31.87.

x :	12	20	27	33	?	54
f :	8	16	48	90	30	8

3. Calculate mean deviation from the following data :

x :	2	4	6	8	10
f :	1	4	6	4	1

4. Distinguish between skewness and dispersion.

5. Write a short note on :

   (a) Linear correlation

   (b) Non-linear correlation.

6. Calculate three yearly moving average of the following data :

Year :	1981	1982	1983	1984	1985
No. of student :	15	18	17	20	23
Year :	1986	1987	1988	1989	1990
No. of student :	25	29	33	36	40

7. Construct chain Index numbers from the link relatives given below :

Year :	1987	1988	1989	1990	1991
Link Index :	100	105	95	115	102

8. Mean of 100 items is found to be 30. If at the time of calculation two items are wrongly taken as 32 and 12 instead of 23 and 11. Find the correct mean.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the uses of statistics in commerce and business.

10. Calculate the mean, median and mode for the following data :

Profits of shop	No. of shops
0-10	12
10-20	18
20-30	27
30-40	20
40-50	17
50-60	6

11. In a distribution mean = 65, median = 70. co. eff. of skewness = –0.06. Find

    (a) mode

    (b) coefficient of variation.

12. Construct the cost of living index number of 1990 using the family budget method.

Expenses	%	Base year 1990	Current year 1996
Food	40	150	174
Rent	15	50	60
Clothing	15	100	125
Fuel	10	20	25
Miscellaneous	20	60	90

13. From the following data interpolate the value of Y when $X = 1.5$.

x :	1	1.2	1.4	1.6	1.8	2.0
y :	5	6	7.5	9.5	12.0	16.0

14. What is 'moving average'? What are its uses in time series?

15. What are the various methods of measuring skewness? Explain.

DE–7976 **24**

DISTANCE EDUCATION

B.B.A.(CS)/B.B.A.(CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

ADVANCED ACCOUNTANCY

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What do you mean by internal reconstruction? How do you differentiate it from external reconstruction?

2. Explain various methods of redemption of debentures.

3. State the procedure for the forfeiture and reissue of shares.

4. Write a note on allocation of expenses under departmental accounting system.

5. Murugan Ltd., issued 2000, 12% Redeemable preference shares of Rs.l00 each. In order to redeem these. 500 ordinary shares of Rs. 100 each were issued at 10% premium. The company has sufficient balance in its profit and loss account. An investment costing Rs. 1,00,000 was sold for Rs.93,000. Preference shares were redeemed at par. Pass necessary journal entries.

6. Ganesh Ltd.. was registered on 1.7.97 to acquire the running business of Suneel & Co., with effect from 1.1.97. The following was the profit and Loss account of the company on 31.12.97.

Particulars	Rs.	Particulars	Rs.
To office expenses	54,000	By gross profit B/d	2,25.000
To Formation expenses (written off)	10,000		
To stationery & postage	5,000		
To selling expenses	60,000		
To directors' Fees	20,000		
To Net profit	76,000		
	2,25,000		2,25,000

You are required to prepare a statement showing profit earned by the company in the pre and post incorporation periods. The total sales for the year took place in the ratio of 1:2 before and after incorporation respectively.

7. X Co. Ltd issued 4,000 shares of Rs. 10 each at a premium of Rs. 2 per share. The amount was payable as under :

On application Rs. 3 per share

On allotment Rs. 4 per share (including premium)

On first call Rs. 3 per share

On second call Rs. 2 per share

The company received applications for 5,000 shares and the allotment was made as under:

(a) Applicants for 200 shares – Nil

(b) Applicants for 800 shares – Full

(c) Applicants for 4,000 shares – 3,200 shares

All moneys were duly received except the first call on 200 shares and final call on 300 shares.

Pass journal entries and prepare balance sheet of X Co. Ltd.

8. Following is the Balance Sheet of X, Y and Z who share profits and losses in the ratio of 2:2:1.

Liabilities	Rs.	Assets	Rs.
Sundry creditors	15,000	Cash in hand	2,000
X's capital	15,000	Sundry debtors	22,000
Y's capital	12,000	Stock	22,000
Z's capital	4,000		
	46,000		46,000

The firm was dissolved and the assets were realised gradually; Rs. 10,000 was received once; Rs. 15,000 another time and Rs. 9,000 finally. Show how each installment is to be distributed.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Describe the procedure for computation of claims under Loss of Profits Policy.

10. The directors of Departmental stores limited wish to ascertain approximately, the net profits of the "A", "B" and "C" departments separately for the quarter ended 31st Mach, 2002. It is found impracticable actually to take stock on that date but an adequate system of departmental accounting is in use and the normal rates of' gross profit, for the departments concerned are 40%, 30'/, and 20% on turnover respectively. Indirect expenses are charged in proportion to departmental turnover.

Particulars	A	B	C
	Rs.	Rs.	Rs.
Stock on 1.1.2002	30,000	35,000	15,000
Purchase to March 31, 2002	35,000	37,500	22,500
Sales to March 31, 2002	60,000	50,000	30,000
Direct expenses	10,100	7,250	3,550

Total indirect expenses for the period (including those relating to other departments) were Rs. 21.000 on total sales of Rs. 4,20,000. Prepare a statement showing gross profit, net profit after making reserve for stock at 10% in respect of each department.

11. M Ltd. and N Ltd. agreed to amalgamate on the basis of the following Balance Sheets as on 31.3.97.

Liabilities	M Rs.	N Rs.	Assets	M Rs.	N Rs.
Share capital Rs. 25 each	75,000		Good will	30,000	–
P & L A/c	7,500	50,000	Fixed assets	31,500	38,800
Creditors	3,500	2,500	Stock	15,000	12,000
Depreciation fund	–	3,500	Debtors	8,000	5,200
		2,500	Bank	1,500	2,500
	86,000	58,500		86,000	58,500

The assets and liabilities are to be taken over by a new company formed called P Ltd., at book values. P Ltd's capital is Rs. 2,00,000 divided into 10,000 equity shares of Rs. 10 each and 10,000, 9% preference shares of Rs. 10 each.

P Ltd. issued the equity shares equally to the vendor companies and preference shares were issued for any balance of purchase price.

Pass journal entries in the books of P Ltd and prepare its Balance Sheet, if the amalgamation is in the nature of purchase.

12. On January 1, 1999 Y acquires three machines on hire purchase at 10% p. a interest. Y immediately pays Rs. 60,000 and also agrees to pay in three annual instalments of Rs. 1,00,000 each, first installment becoming due at 1999 end. Y duly pays the first installment but fails to pay thereafter. Immediately after Y's default, Z repossesses the machine. Assuming that Y charges depreciation at 20% p. a on straight line basis at 31st December each year, show the relevant ledger accounts in the books of both the parties if Z repossesses all the machines.

13. A, B and C are equal partners. On 31.12.92 their Balance sheet was as follows :

Liabilities		Rs.	Assets	Rs.
Capital:	A	1,68,000	Buildings	1,95,000
	B	1,26,000	Furniture	24,000
	C	60,000	Stock	1,14,000
	Creditors	60,000	Debtors	1,08,000
	Bills Payable	33,000	Cash	6,000
		4,47,000		4,47,000

On that date D was admitted for 1/4th share of profit on the following terms.

(a) That D brings in cash Rs. 90,000 for goodwill and Rs. 1,50,000 as capital.

(b) That half of the goodwill shall be withdrawn by the old partners.

(c) The stock and furniture be depreciated by 10%.

(d) That a provision of 5% on debtors be created for doubtful debts.

(e) That a liability for Rs. 10,800 be created against bills discounted.

(f) That the building be valued at Rs. 2,70,000.

Give the necessary journal entries and ledger accounts and prepare the Balance Sheet of new firm.

14. The Bengal Coal Company Limited are lessees of a mine on a royalty of Re. 1 per tone of coal raised with a dead rent of Rs. 40,000 per annum and power to recoup short working of any year in the next two years. The lease provided that in any year if the mine is not worked due to strike, the minimum rent of that year shall be reduced proportionately having regard to the length of stoppage. The output was as follows:
1st year – 10,000 tonnes; 2nd year – 48,000 tonnes; 3rd year 52,000 tonnes; 4th year – 52,500 tonnes and 5th year (strike for three months) – 25,000 tonnes.

Prepare Royalty, Short workings and Landlord's accounts in the books of Bengal Coal Company Limited.

15. Moon Star Co. Ltd is a company with an authorised capital of Rs.5,00,000 divided into 5,000 equity shares of Rs.100 each on 31.12.2003 of which 2,500 shares were fully called up. The following are the balances extracted from the ledger as on 31.12.2003.

TRIAL BALANCE OF MOON & STAR CO.LTD

Debit	Rs.	Credit	Rs.
Opening stock	50,000	Sales	3,25,000
Purchases	2,00,000	Discount received	3,150
Wages	70,000	Profit and Loss a/c	6,220
Discount allowed	4,200	Creditors	35,200
Insurance (upto 31.3.04)	6,720	Reserves	25,000
Salaries	18,500	Loan from managing director	15,700
Rent	6,000	Share capital	2,50,000
General expenses	8,950		
Printing	2,400		
Advertisement	3,800		
Bonus	10,500		
Debtors	38,700		
Plant	1,80,000		
Furniture	17,100		
Bank	34,700		
Bad debts	3,700		
Calls - in-arrears	5,000		
	6,60,270		6,60,270

You are required to prepare Profit and Loss Account for the year ended 31.12.2003 and a balance sheet as on that date. The following further information is given:

(a) Closing stock was valued at Rs. 1,91,500.

(b) Depreciation on plant at 15% and on furniture at 10% should be provided.

(c) A tax provision of Rs. 8,000 is considered necessary.

(d) The directors declared an interim dividend on 15.8.03 for 6 months ending June 30, 2003 @ 6%.

DE–7977 **25**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

CORPORATE FINANCE

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is finance function? Who discharge this finance function?

2. Explain "Wealth maximization".

3. What are the main determinants of working capital?

4. What are the effects of under capitalization?

5. Differentiate 'capitalisation' and 'capital structure'.

6. Write short note on appropriate capital structure.

7. What are the characteristics of global depository receipt?

8. Enumerate the sources of domestic capital.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are the main functions of the modern finance manager?

10. Explain the different bases of determining capitalisation of a firm.

Wk 16

11. Make a list of factor determining optimum capital structure.

12. What are the merits and demerits of issues of shares?

13. Bring out role of various constituents of working capital.

14. Discuss the functions of IFCI.

15. What factors determine the size of investment in the working capital of a business enterprise?

DE–7978 **31**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

CAPITAL MARKET LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Briefly explain the structure of securities market in India.

2. What are the objectives of security contracts (Regulation) Act, 1956?

3. Discuss establishment and management of SEBI.

4. State the procedure for obtaining membership in a stock exchange.

5. Explain the penalty provisions relating to merchant brokers.

6. Write a note on "Index in NSE".

7. What are the functions of National Stock Exchange?

8. What is OTCEI? What are the features of OTCEI?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the importance of securities market for development of Indian economy.

10. List out the recommendations of high powered committees.

11. Explain the rights and duties of merchant brokers.

12. State and discuss the listing procedure in OTC Exchange.

13. List out and explain the trading process in National Stock Exchange.

14. Explain the main difference between OTCEI and NSE.

15. Enumerate the powers of SEBI for recognizing stock brokers and share transfer agents.

———————

DE–7979 **32**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

TAX LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the concept of income and give its features.

2. What is agricultural income? How is it treated for income-tax purpose?

3. Explain how the liability of an assessee is determined with reference to his residence.

4. Distinguish between capital and revenue expenditure.

5. What are the perquisites exempted for all employees?

6. Differentiate between tax avoidance and tax evasion.

7. Calculate gross annual value from the following information :

   MRV – ₹ 80,000

   FRV – ₹ 1,00,000

   Standard rent – ₹ 70,000

Actual rent – ₹ 1,20,000

Municipal taxes – ₹ 8,000

It is assumed that a there is not unrealised rent.

8. Mention the different kinds of income specifically mentioned as chargeable to tax under the head "income from other sources".

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What do you understand by the term 'residence of an assessee'? What conditions are laid down for determination of residence of an individual, a firm and a company?

10. Discuss the incomes which are not included in total income nor income - tax is payable on them.

11. Define profit in lieu of salary. To what extent are these exempted from tax?

12. Mr. DRG provided following information about his salary income :

		₹
(a)	Salary	15,000 p.m.
(b)	D.A. as per terms of employment	20% of salary
(c)	Bonus	15,000
(d)	City compensatory allowance (CCA)	2,400 p.a.
(e)	Lunch allowance	500 p.m.
(f)	Reimbursement of medical expenditure incurred on treatment of wife from a private nursing name is ₹ 22,000	

He is given a choice to select either.

(i) Rent free house owned by employer at Chandigarh (population 7.5 lakhs) (Or)

(ii) House rent allowance @ ₹ 4,500 p.m. He can hire similar type of house @ ₹ 2,500 p.m. Advice him which option he should choose from taxation point of view.

13. Mr. Krishnan is the owner of a big house consisting of 3 equal and independent units.

Unit I is let out at a rent of ₹ 8,000 p.m. Unit II is being used in owner's own business, whereas Unit III is being used for his own residence. Other particulars of the house are as follows.

	₹
Municipal valuation	1,50,000
Fair rental value	1,95,000
Standard rent as per rent control act	1,86,000
Municipal taxes	15,000
Repairs	12,000
Interest on borrowed money	60,000

Unit I remained vacant for 2 months and one month's rent could not be realized from a tenant.

Mr. Krishnan's income from his business without debiting any expenditure related to own house being used in his own business is ₹ 2,00,000. Determine Mr. Krishnan's income from business and home property for the assessment year 2011-12.

14. Mr. Rawat gives you the following particulars from his accounts for the year ended 31.3.2011.

Net profit as per P/L account (before charging the following – ₹ 2,75,000

Expenditure on family planning – ₹ 45,000

Lump sum consideration for purchase of technical know-how developed in government laboratory – ₹ 90,000

Entertainment expenditure – ₹ 30,000

Expenditure on acquisition of patent right – ₹ 84,000

Expenditure on advertisement paid in cash – ₹ 18,000

Provision for excise duty – ₹ 45,000

(He paid ₹ 20,000 on 27.06.2011, and ₹ 7,000 on 10.11.2011. Due date of filling of return 31.07.2011)

Amount paid to Rajasthan University for an approved research programme in the field of social sciences not connected with his business – ₹ 20,000

Compute his business profit for the previous year 2010-11.

15. From the particulars given below, compute the total income of Mr. X for the assessment year 2011-12, explaining each point clearly :

		₹
(a)	Income from profession	86,500
(b)	Income of minor son (singing in his profession)	12,000
(c)	Winnings from lottery : Ticket purchased on the name of the Mr. X's minor daughter	6,800
(d)	Mr. X's father gifted debentures in an Indian company to Mr. X's minor son and company paid gross interest	6,650
(e)	Mr. X's wife is a government servant and her income computed under the head salaries	56,000
(f)	Interest on debentures purchased by Mr. X but gifted to Mrs. X	18,000

DE–7980 **33**

DISTANCE EDUCATION

B.B.A.(CS)/B.B.A.(CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

ECONOMIC LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the penal provisions envisaged in the MRTP Act? Explain.

2. Write a note on Non-resident (External) rupees account.

3. Explain the objectives of the MRTP Act.

4. State the rules relating to power of entry and inspection by Government under Environment Protection Act.

5. What do you mean by Environment Pollution? What are its causes?

6. What is Industrial Licence? Why is it needed for the industries?

7. What do you mean by "Registration of Agreements" under MRTP Act?

8. Explain the procedure for seizure and confiscation of essential commodities.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the provisions of Environment Protection Act in relation to penalties and offences.

10. What are the powers of the MRTP commission?

11. Describe the procedure for registration of existing industrial undertaking under Industrial [Development and Regulation] Act.

12. Describe how is the supply and distribution of essential commodities undertaken.

13. What are the duties and power of authorized persons? Explain.

14. Discuss the powers of Central Government in connection with making rules to combact the menace of Environmental Pollutions.

15. Enumerate the benefits available to small scale industries as provided in industries (development and regulation) Act 1951.

DE–7981 **34**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014.

COST ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State and explain the objectives of material control.

2. Prepare a cost sheet from the following data :

	Rs.	Rs.
Direct material consumed		50,000
Direct wages paid		40,000
Chargeable expenses		10,000
Indirect materials :		
Used in factory	8,000	
Used in office	12,000	
Used in selling	6,000	
Used in distribution	4,000	30,000
Indirect labour :		
In factory	15,000	
In office	20,000	
In selling	18,000	
In distribution	12,000	65,000
Indirect expenses :		
Relating to factory	6,000	
Relating to office	3,000	
Relating to selling	1,000	10,000

3. Calculate the total earnings from the following data under Halsey plan and under Halsey-Weir plan.

   Standard time : 10 hours

   Time taken : 8 hours

   Time rate : Rs. 2.50 per hour.

4. Krishna producing concern is divided into four departments. "A", "B", "C" are production departments and "D" is a service department. The actual expenses for a period are as follows :

	Rs.
Rent	10,000
Repairs to plant	6,000
Depreciation of plant	4,500
Lighting expenses	1,000
Supervisory expenses	15,000
Fire insurance (on stock)	5,000
Power	9,000
Employer's liability for insurance	1,500

The following information is available in respect of the four departments.

	Departments			
	A	B	C	D
Area (sq. feet)	1500	1100	900	500
Number of lights	75	11	9	5
Number of employees	200	150	100	50
Total wages (Rs.)	60,000	40,000	30,000	20,000
Value of plant (Rs.)	2,40,000	1,80,000	1,20,000	60,000
Value of stock (Rs.)	1,50,000	90,000	60,000	–

Apportion the costs to the various departments on the most equipment method.

5. A product passes through two processes. The following details relate to process "A". You are required to ascertain the process cost to be transferred to process "B".

	Rs.
Direct material (100 units)	12,000
Direct wages	8,000
Direct expenses	5,000
Overheads	11,000

Input 1000 units; output 1000 units as there was no loss of units.

6. From the following figures prepare a reconciliation statement between cost and financial records:

	Rs.
Net profit as per financial records	1,28,755
Net profit as per costing records	1,72,400
Works overhead under recovered in costing	3,120
Administrative overhead recovered in excess	1,700
Depreciation charged in financial records	11,200
Depreciation recovered in costing	12,500
Interest received but not included in costing	8,000
Obsolescence loss charged in financial records	5,700
Income tax provided in financial books	40,300
Bank interest credited in financial books	750
Stores adjustment (credit in financial book)	475
Depreciation of stock charged in financial books	6,750

7. From the particulars given below write up the stores ledger card :

2007

January 1	Opening stock	1000 units at Rs. 26 each
5	Purchased	500 units at Rs. 24.50 each
7	Issued	750 units
10	Purchased	1500 units at Rs. 24 each
12	Issued	1100 units
15	Purchased	1000 units at Rs. 25 each
17	Issued	500 units
18	Issued	300 units
25	Purchased	1500 units at Rs. 26 each
29	Issued	1500 units

Adopt the FIFO method of issue and ascertain the value of the closing stock.

8. The following information is available in respect of component D20 :

Maximum stock level	: 42000 units
Budgeted consumption	: Maximum 7500 units per month
	Minimum 4000 units per month
Estimated delivery period	: Maximum 4 months
	Minimum 2 months

You are required to calculate :

(a) Re-order level.

(b) Re-order quantity.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. The Standard price of a material is fixed at Rs. 14 per unit. Prepare the stores ledger amount showing pricing of material issues under standard price method.

2010

March 1	Opening balance	2000 units Rs. 14 per unit
5	Received	500 unit Rs. 15 per unit
7	Issued	1000 units
10	Issued	200 untis
12	Received	800 units at Rs. 13 per unit
14	Issued	1200 units
18	Issued	400 units
20	Received	600 units at Rs. 16 per unit
26	Issued	200 units
28	Received	200 units at Rs. 12 per units
30	Issued	100 units

10. From the following particular, calculate earnings of a worker under :

(a) Time rate system

(b) Piece wage rate

(c) Halsey plan and

(d) Rowan plan.

Wages rate – Rs. 2 per hour

Production per hour – 4 units

Dearness allowance – Rs. 1 per hour

Standard time fixed – 80 hours

Actual time taken – 50 hours

Production – 250 units.

11. A company has three production departments and two services departments their respective expenditure are given below :

Production departments	Service departments
A – Rs. 800	X – Rs. 234
B – Rs. 700	
C – Rs. 500	Y – Rs. 300

Service departments given service in the following manner to various departments.

Service departments	A	B	C	X	Y
X	20%	40%	30%	–	10%
Y	40%	20%	20%	20%	–

You are required to show the distribution of service department overheads under simultaneous equation method.

12. Prepare memorandum reconciliation account from the following data :

	Rs.
Net profit as per financial books	63,780
Net profit as per costing books	66,760
Factory overhead under recovered in costing	5,700
Administration overhead recovered in excess	4,250
Depreciation charged in financial accounts	3,660
Depreciation recovered in costing	3,950
Interest received but not included in costing	450
Income tax provided in financial accounts	600
Bank interest credited in financial books	230
Store adjustment (credited in financial books)	420
Depreciation of stock charged in financial books	860
Dividend appropriated in financial accounts	1,200
Loss due to pilferage provided only in financial book	260

13. Ramsons Ltd. produces a product which goes through three processes A, B and C before it is finished and sent to the godown for distribution. From the following details, ascertain the cost of the product at the end of each stage of production.

Particular	Process *A*	Process *B*	Process *C*
	Rs.	Rs.	Rs.
Raw material	10,000	–	–
Other direct materials	30,000	20,000	10,000
Direct wages	10,000	20,000	30,000
Overheads	10,000	8,000	20,000
Output in units	15,000	14,000	17,000
Opening stock (units from previous process)	–	6,000	5,000
Closing stock (units from previous process)	–	5,000	1,000

14. The following details have been obtained from the cost records of Raja Sekhar Ltd.

	Rs.
Stock of raw material on 1st Dec. 2010	75,000
Stock of raw material on 31st Dec. 2010	91,500
Direct wages	52,500
Indirect wages	2,750
Sales	2,11,000
Work in progress 1st Dec. 2010	28,000
Work in progress 31st Dec. 2010	35,000
Purchases of raw materials	66,000
Factory rent, rates and power	15,000

	Rs.
Depreciation of plant and machinery	3,500
Expenses on purchases	1,500
Carriage outwards	2,500
Advertising	3,500
Office rent and taxes	2,500
Traveller's wages and commission	6,500
Stock of finished goods (1st Dec. 2010)	54,000
Stock of finished goods (31st Dec. 2010)	31,000

Prepare a cost sheet giving the maximum possible breakup of costs and profit.

15. The standard production in a factory is 10 units per hour for a day of 8 hours. The wages is Rs. 6 per day. Bonus rated on efficiency is paid awarding to a scale as follows :

Level of efficiency	Bonus
Upto 60% of standard	Nil
Above 60% and upto 75%	5%
Above 75% and upto 90%	10%
Above 90% and upto 100%	15%

For an increase of every 1% of efficiency beyond 100% the bonus also rises by 1% output of 3 workers on a day was as follows :

A = 40 units

B = 75 units

C = 100 units

Calculate the earnings of the workers.

DE–7982 **35**

DISTANCE EDUCATION

B.B.A. (CS)/B.B.A. (CS) (Lateral) DEGREE EXAMINATION, MAY 2014

FINANCIAL SERVICES

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the various constituent of the financial service sector.

2. What are the salient features of Hire Purchase Finance?

3. Briefly explain the progress of Mutual Funds in India.

4. List out the strategies involved in Credit Cards.

5. What do you mean by Merchant Bank?

6. State the features of open-ended Scheme.

7. Out line the recent development of financial markets in India.

8. List out the various services provided by CRISIL.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Distinguish between many market and capital market.

10. Explain the part played by commercial bank in economic development of a country.

11. What are the functions of Higher Purchase Finance?

12. Discuss about the position of factoring in India.

13. Bring out and explain the importance of portfolio management.

14. State the beneficiaries of the Credit Rating Services. List out its benefits.

15. Describe the organizational setup of Mutual funds in India.